California Closets: Notice of Breach and Demand

Re: Westco Closet Corp. d/b/a California Closets - Job No. 245712 - Proposal and Contract dated October 9, 2025

BACKGROUND

1. On October 16, 2025, John Heidenreich, co-owner of a residential unit in the Thompson Hotel - Central Park building in New York City, executed the Proposal and Contract (the "Contract") of Westco Closet Corp. d/b/a California Closets (the "Company") for the design and installation of two custom closet systems. The unit's other co-owner, Tricia Fullerton, was the Company's designated project contact and handled project communications (together, the "Customer"). The price was $23,510.00. The Customer paid a $13,965.00 deposit. Installation was scheduled for November 6-10, 2025.

2. The Contract incorporates the signed and approved plans dated October 16, 2025 (the "Plans") (§ 2), requires that the work be completed "in a workmanlike manner" (§ 4), and requires that materials be "in accordance with the specifications and plans" (§ 6). The Company also issued a Limited Lifetime Warranty against substantial defects in materials or workmanship.

THE INSTALLATION DOES NOT CONFORM TO THE PLANS

3. The installed work departs from the Plans in material respects (Exhibit B):

· **Fillers.** The Plans specify 0.75-inch automatic fillers and state that the notch is cut in the shop based on the designer's measurements. The measurements taken were inaccurate and the units did not account for the full space at the sides. Fillers of approximately 3 inches were required, and visible gaps of approximately 2 inches remain on both sides of the installed units.

· **Base alignment.** The Plans call for the lower rail to sit directly on the ledge. The bases sit on feet, leaving visible gaps of approximately 0.5 inch.

· **Electrical access.** The Plans specify outlet locations and, for the left unit, an enclosure to cover the outlet and transformer. The specified outlet locations are obstructed, and the enclosure was not provided. A cutout for access to the TV outlet was to be provided in front of the outlet; it was placed more than a foot away.

· **Hardware.** The push-to-open mechanisms failed during normal use.

4. The Customer has also reported lighting that activates without door engagement, flickers, and generates excess heat near stored contents. On May 7, 2026, a licensed electrician assessed the installation and stated in writing on June 19, 2026 that the design and placement of the outlets would not pass a DOB inspection because receptacles must be installed in accessible locations (Exhibit B).

5. These conditions are not correctable by routine adjustment. On January 30, 2026, the Company's Sales Manager concluded, following an on-site review of the installation, that certain conditions could not be addressed without removal.

NYC DEPARTMENT OF BUILDINGS INSPECTION

6. On August 6, 2026, NYC DOB Electrical Inspection No. 7571390 (Permit M01419562-I1-EL) resulted in a "Fail-Final" status and a non-certifiable objection: the inspector could not verify the receptacle installation because the receptacle is concealed behind millwork and is not accessible. Reinspection cannot proceed until access is restored. Restoring access requires removal of the units.

NOTICE, CURE, AND THE COMPANY'S REVERSAL

7. The Customer gave notice beginning November 7, 2025, and cooperated throughout with scheduling, access, and repair visits (Exhibit D). The Company has not completed corrective work, including under its Limited Lifetime Warranty. Payment was nevertheless demanded on November 11, December 1, and December 23, 2025, and January 9 and 12, 2026.

8. On February 11, 2026, the Company offered replacement, refund, or removal options, and the Customer accepted removal and a refund. On February 16 and 17, and again on March 6, 2026, the Company conditioned that resolution on terms disclaiming responsibility for wall repair, repainting, and restoration. The Customer declined those terms. No written modification under Section 12 of the Contract was ever executed. On March 18, 2026, the Company withdrew the proposal, asserted that the work conformed to the Contract and Plans, and demanded the $9,545.00 balance within seven days.

THE PRE-CONTRACT WRITTEN ASSURANCE

9. On October 10, 2025, the Customer objected in writing to Section 8 (Limitation of Damages) and conditioned execution of the Contract on a written assurance. On October 15, 2025, the Company, through its Vice President and relayed by its Designer, acknowledged that this concern was "preventing you from signing the contract" and confirmed in writing: "we are responsible for any and all damages directly caused by our employees during the installation which would be covered under our insurance policy," adding, "rest assured, we are responsible for any damage we have caused" (Exhibit A). The Contract was executed the following day in reliance on that assurance.

10. The Company's later attempt to disclaim restoration costs arising from removal of its own installation cannot be reconciled with that assurance. The Customer reserves all claims arising from it, including claims in misrepresentation and estoppel.

DEMAND

11. Within 14 days of delivery of this notice, the Company is to:

a. remove both closet systems using qualified, licensed personnel;

b. restore affected surfaces to paint-ready condition and correct any damage beyond ordinary removal impact;

c. refund the $13,965.00 paid;

d. reimburse documented costs to date of $1,556.98, together with permit extension, reinspection, and any further related costs as incurred;

e. identify its liability insurer and policy information and place its carrier on notice of this claim; and

f. confirm in writing a mutual release upon completion.

12. Absent compliance, the Customer will retain a licensed contractor to perform removal and restoration and will pursue recovery of those costs, the refund, reimbursement, and all other available remedies.

PRESERVATION AND RESERVATION OF RIGHTS

13. The Company must preserve all records relating to this job, including communications, design and measurement files, photographs, installation and service records, and any audio or video records.

14. All rights are reserved, including claims for breach of contract and warranty, misrepresentation, and statutory remedies. Claims for delayed rental income and carrying costs are reserved and will be itemized separately.

SUPPORTING EXHIBITS

Exhibit A - Pre-Contract Written Assurance and Later Position
Exhibit B - Signed Plans vs. Installed Conditions
Exhibit C - Public Representations vs. Documented Outcomes
Exhibit D - Communication Timeline and Cure Attempts
Exhibit E - Photographs of Conditions and Affected Premises
Exhibit F - Email Correspondence
Exhibit G - Audio and Video Records (preserved)
Exhibit H - Documented Costs and Reserved Claims

NOTICE ADDRESS AND COMPANY CONTACTS

This notice is directed to Westco Closet Corp. d/b/a California Closets, 16 Saw Mill River Rd., Hawthorne, NY 10532, with copies to the New York showrooms at 26 Varick St., New York, NY 10013 and 1625 York Ave., New York, NY 10128.

Company contacts referenced in the record:

- Brian Trainor, CFO / VP Finance and Treasurer
- Meagan Fox, Sales Manager
- Fara Brickner, Designer
- Joshua Shelley, Assistant Controller

RESOLUTION CORRESPONDENCE

Direct resolution-related communications to ops@centralparkinvestors.com.